

What's the Statute of Frauds?

Contracts conveying the ownership or interest in real property (and other specific contract types) must be written to be legally enforceable, according to the statute of frauds. But what is the statute of frauds?

The statute of frauds was adapted from a 1677 English law for use as a defense in a breach of contract lawsuit. Each state has its own version of the statute of frauds, but, in general, the law prevents injury from fraudulent conduct in certain types of agreements, including property transfers.

To meet the statute's requirements, the written agreement must:

- Identify the contracting parties.
- Clearly identify the subject matter of the contract.
- Present the essential terms and conditions of the contract.

Other types of contracts that the statute of frauds requires to be in writing to be legally enforceable include:

- Marriage contracts (including prenuptial agreements)
- Contracts that, by their terms, can't be completed within one year (such as a lease of property that's for longer than one year)
- Contracts by the executor of a will to pay a debt of the estate from the executor's own funds
- Contracts for the sale of goods totaling \$500 or more
- Contracts in which one party agrees to pay the debt of another

The Parol Evidence Rule

The word "parol" comes from the French term *parole*, meaning "word" or "formal promise." The parol evidence rule provides that in most cases, a written agreement is the final and comprehensive expression of the parties' agreement, and generally prohibits the introduction of previous verbal or written statements that contradict, augment, or otherwise change the written contract's terms. However, in certain cases, oral evidence can be used to support or complete an otherwise incomplete or ambiguous contract. Remember that the statute of frauds resolves to ensure that no nonexistent agreement shall be enforced via perjury or fraud. The parol evidence rule supports this by prohibiting parties from stating in court that the written contract they signed wasn't really what they intended.